

Intl Business Machines (IBM)

\$281.21 (Stock Price as of 06/30/2026)

Price Target (6-12 Months): **\$323.00**

Long Term: 6-12 Months

Zacks Recommendation:

Neutral

(Since: 09/12/22)

Prior Recommendation: Underperform

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM:D

Value: D

Growth: C

Momentum: C

Summary

IBM is poised to benefit from strong demand for hybrid cloud and AI, driving growth in Software and Consulting. It is betting big on the Watsonx platform, which is the core technology platform for its AI capabilities. Watsonx delivers the value of foundational models to the enterprise, enabling them to be more productive. It is collaborating with Open AI to bring AI capabilities beyond just improving productivity and efficiency and integrating AI directly into an organization's cybersecurity operations. Such innovation will likely bring long term benefits. However, competition remains intense across cloud, consulting, software and infrastructure markets. AI-powered code modernization tools could reduce demand for portions of IBM's legacy services business. Frequent acquisitions increases integration risks.

Data Overview

52 Week High-Low	\$332.46 - \$212.34
20 Day Average Volume (sh)	8,526,698
Market Cap	\$264.3 B
YTD Price Change	-5.1%
Beta	0.68
Dividend / Div Yld	\$6.76 / 2.4%
Industry	Computer - Integrated Systems
Zacks Industry Rank	Top 7% (17 out of 246)

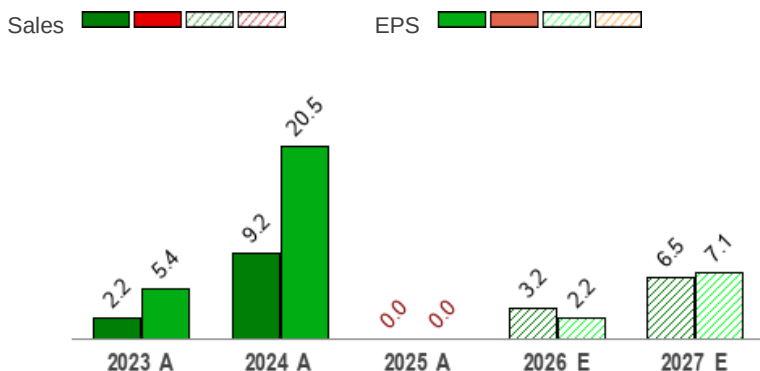
Last EPS Surprise	5.5%
Last Sales Surprise	1.5%
EPS F1 Est- 4 week change	0.0%
Expected Report Date	07/22/2026
Earnings ESP	1.3%

P/E TTM	23.7
P/E F1	23.7
PEG F1	5.1
P/S TTM	3.8

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027					74,230 E
2026	15,917 A	17,601 E	17,126 E	19,568 E	69,692 E
2025	14,541 A	16,977 A	16,331 A	19,686 A	67,535 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027					12.69 E
2026	1.91 A	2.99 E	2.85 E	4.33 E	11.85 E
2025	1.60 A	2.80 A	2.65 A	4.52 A	11.59 A

*Quarterly figures may not add up to annual.

1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 06/30/2026.

2) The report's text and the price target are as of 07/01/2026.

Overview

International Business Machines Corporation has gradually evolved as a provider of cloud and data platforms. Red Hat acquisition, in particular, has helped it in strengthening competitive position in the hybrid cloud market. With Red Hat buyout, the company offers Linux operating system — Red Hat Enterprise Linux — and hybrid cloud platform — Red Hat OpenShift — that aids enterprises with digital transformation. In addition, the company provides advanced information technology solutions, computer systems, quantum computing and super computing solutions, enterprise software, storage systems and microelectronics.

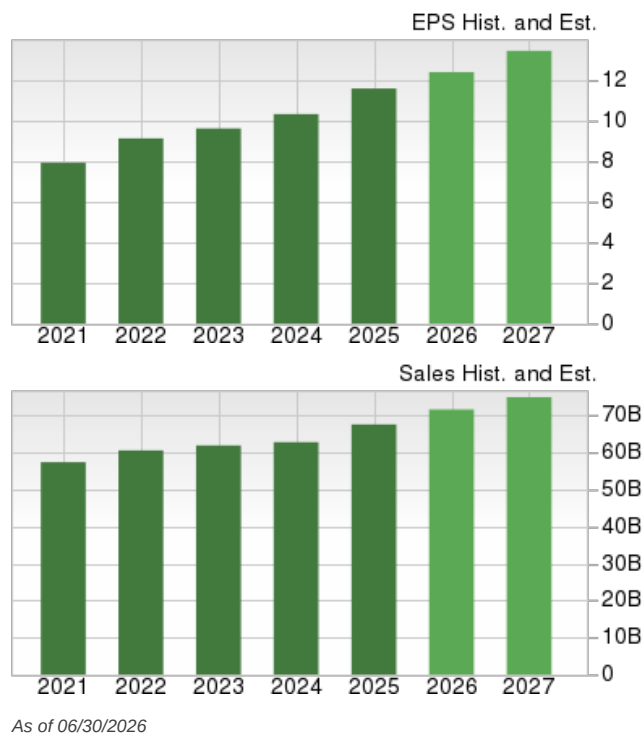
Armonk, NY-based, IBM reported revenues of \$67.54 billion in 2025. It has spun off of its legacy Managed Infrastructure Services business in a bid to accelerate its hybrid cloud growth strategy. IBM has restructured its segments post the separation of Kyndryl. The new segments of the company are Software, Consulting, Infrastructure and Financing.

Software (erstwhile Cloud & Cognitive Software): This segment consists of Hybrid Cloud (previously reported as Red Hat), Automation and Data and Transaction Processing. It recorded 44.3% of GAAP revenues in first-quarter 2026.

Consulting (erstwhile Global Business Services): This segment comprises Strategy and Technology (previously reported as Business Transformation and Technology Consulting) and Intelligent Operations (previously reported as Application Operations). It recorded 33.1% of GAAP revenues in first-quarter 2026.

Infrastructure (erstwhile Systems): This segment comprises Hybrid Infrastructure and Infrastructure Support services. It recorded 20.9% of GAAP revenues in first-quarter 2026.

Financing (erstwhile Global Financing): This segment includes client and commercial financing services. It recorded 1.4% of GAAP revenues in first-quarter 2026.



Reasons To Buy:

▲ IBM is poised to benefit from strong demand for hybrid cloud and AI, driving growth in Software and Consulting. The company's growth is expected to be driven primarily by analytics, cloud computing, and security in the long haul. A combination of a better business mix, improving operating leverage through productivity gains and increased investment in growth opportunities will likely drive profitability. IBM's research and development (R&D) initiatives set it apart from its peers. On an annual basis, the company invests around 7-8% on R&D for reaping the high-growth and high-value opportunities.

IBM is poised to benefit from strong demand for hybrid cloud and AI, driving growth in Software and Consulting.

▲ With a surge in traditional cloud-native workloads and associated applications, along with a rise in generative AI deployment, there is a radical expansion in the number of cloud workloads that enterprises are currently managing. This has resulted in heterogeneous, dynamic and complex infrastructure strategies, which, in turn, has led firms to undertake a cloud-agnostic and interoperable approach to highly secure multi-cloud management. The buyout of HashiCorp aims to address these issues. Representing an enterprise value of \$6.4 billion, the deal has significantly augmented IBM's capabilities to assist enterprises in managing complex cloud environments. Moreover, HashiCorp's tool sets complement IBM Red Hat's portfolio, bringing additional functionalities for cloud infrastructure management. The integration of HashiCorp's cloud software capabilities has bolstered IBM's hybrid multi-cloud approach. IBM completed the acquisitions of StreamSets and webMethods from Software AG to augment its AI platform and automation capabilities. The buyouts bring together leading capabilities in integration, API management and data ingestion. Complementing IBM DataStage and Databand platform with a hybrid and multi-cloud approach, the buyouts have enabled IBM to develop comprehensive application and data integration platforms in the industry. IBM has acquired Hakkoda Inc., a prominent data consultancy provider, for an undisclosed amount. The acquisition is expected to strengthen IBM's data expertise and augment its capability to support clients' AI transformation initiatives.

▲ IBM has collaborated with SAP to leverage generative AI in the retail industry. The collaboration is likely to increase productivity and accelerate business transformation in consumer-packaged goods and retail firms. Leveraging indigenous technologies such as IBM Garage methodology, the company aims to help business enterprises undergo rapid digital transformation by embracing generative AI. The IBM Garage approach enables firms to manage strategic initiatives, quantify business outcomes and advance organizational and cultural change through bold IT transformations, re-imagined customer and employee experiences and automated business processes. The collaboration will help wholesale distributors and retailers improve product distribution by feeding external data such as weather, traffic and local events into the SAP Direct Distribution solution and apply AI to identify optimal store delivery routes to reduce costs. It will also help to efficiently manage store-level assortments by using generative AI based on the market dynamics of each store, prior sales patterns, anticipated demand and current product mix.

▲ IBM is betting big on the Watsonx platform, which is likely to be the core technology platform for its AI capabilities. Watsonx delivers the value of foundational models to the enterprise, enabling them to be more productive. This enterprise-ready AI and data platform comprises three products to help organizations accelerate and scale AI – the watsonx.ai studio for new foundation models, generative AI and machine learning; the watsonx.data fit-for-purpose data store, built on an open lake house architecture; and the watsonx.governance toolkit to help enable AI workflows to be built with responsibility and transparency.

▲ IBM has integrated the open-source Mixtral-8x7B large language model into its watsonx AI and data platform. Mixtral-8x7B's incorporation underscores IBM's dedication to cutting-edge AI research and development. Built on innovative Sparse modeling and the Mixture-of-Experts technique, this model excels in rapid data processing and contextual analysis. Its ability to efficiently handle vast datasets makes it a valuable asset for businesses seeking actionable insights. The optimized version of Mixtral-8x7B, developed by Mistral AI, showcases impressive performance gains. Internal tests reveal a remarkable 50% increase in throughput compared to the standard model. By leveraging quantization techniques to reduce the model size and memory requirements, IBM anticipates significant reductions in latency, potentially ranging from 35% to 75%, depending on batch size. This augurs well for the long-term growth of the company.

Reasons To Sell:

- ▼ IBM faces stiff competition in most of its markets. In the hardware enterprise servers and storage segment, the company competes against Dell, Oracle, Hewlett-Packard, and NetApp. The IT services business is also becoming increasingly competitive due to its high-margin nature and the company is facing pricing pressure from Hewlett-Packard. Although it possesses massive data centers, we believe that the company will continue facing tough competition from Amazon Web Services (AWS) and Microsoft's Azure. In the services and software space, the company competes with Accenture. The company competes with Oracle in the middleware software market. Although IBM continues to extend and build its capabilities in the analytics arena, competition from Oracle in this space is intensifying.
- ▼ The company faces a potent threat from AI firm Anthropic as the latter's Claude Code tool can modernize legacy COBOL systems — a foundational programming language deeply embedded in IBM's mainframe ecosystem. With Claude Code proposing to substantially automate code exploration, documentation, refactoring and security analysis, it threatened to reduce enterprises' reliance on specialized legacy service providers like IBM, bringing its sustenance at stake.
- ▼ IBM's frequent acquisitions have escalated integration risks. Buyouts have negatively impacted the company's balance sheet in the form of high level of goodwill and net intangible assets. Moreover, a highly leveraged balance sheet has been troubling IBM over time. As of March 31, 2026, total debt was \$57.71 billion. Although the company generates significant cash flow, a high debt level can jeopardize its ability to sustain dividend payout and pursue accretive acquisitions as well as other growth initiatives.

Time-consuming transition to cloud, weakness in traditional businesses, cash crunch and increasing competition in cloud market are headwinds.

Last Earnings Report

IBM Beats Q1 Earnings Estimates on Solid Revenues & Margin Expansion

IBM reported strong first-quarter 2026 results, with adjusted earnings and revenues beating the respective Zacks Consensus Estimate.

The company witnessed healthy demand trends for hybrid cloud and artificial intelligence (AI) solutions with a client-focused portfolio and broad-based growth. Despite economic uncertainty stemming from geopolitical conflicts and volatility in crude oil prices, the company expects to deliver sustainable growth through advanced technology and deep consulting expertise, supported by diversity across businesses, geographies and industries.

Net Income

On a GAAP basis, net income for the reported quarter was \$1.216 billion or \$1.28 per share compared with \$1.055 billion or \$1.12 per share in the year-ago quarter. The significant improvement in GAAP earnings was primarily due to top-line growth.

Excluding non-recurring items, non-GAAP net income from continuing operations was \$1.91 per share compared with \$1.60 in the prior-year quarter. The bottom line beat the Zacks Consensus Estimate by 10 cents.

Quarter Details

Quarterly total revenues increased to \$15.92 billion from \$14.54 billion on strong demand for hybrid cloud and AI, driving growth in the Software segment. On a constant currency basis, revenues were up 6% year over year. The top line exceeded the consensus estimate of \$15.68 billion.

Gross profit increased to \$8.95 billion from \$8.03 billion in the prior-year quarter, resulting in respective gross margins of 56.2% and 55.2%, driven by a solid portfolio mix. Total expenses increased to \$7.56 billion from \$6.87 billion on higher research and development costs.

Segmental Performance

Software: Revenues improved to \$7.05 billion from \$6.34 billion, driven by growth in Hybrid Cloud (up 10% year over year), Automation (7%), Data (16%) and Transaction Processing (2%). Segment profit was \$2.1 billion compared with \$1.85 billion in the year-ago quarter for margins of 29.8% and 29.1%, respectively. The company is witnessing healthy hybrid cloud adoption by clients and solid demand trends across automation and generative AI offerings like watsonx.

Consulting: Revenues were \$5.27 billion compared with \$5.07 billion a year ago, with growth in Strategy and Technology, and Intelligent Operations. Segment profit remained flat at \$558 million, while margin declined to 10.6% from 11% a year ago.

Infrastructure: Revenues were \$3.33 billion compared with \$2.89 billion on higher demand for hybrid and distributed infrastructure. Segment profit was \$524 million compared with \$248 million in the year-ago quarter, for respective margins of 15.8% and 8.6%. This reflected strength in the IBM Z, Power and Storage offerings. Higher investments in the business across areas like AI, hybrid cloud and quantum also buoyed segment performance.

Financing: Revenues improved to \$220 million from \$191 million a year ago. Segment profit was up to \$118 million from \$69 million in the year-ago quarter for respective margins of 53.8% and 35.8%.

Cash Flow & Liquidity

During the quarter, IBM generated \$5.17 billion in cash from operations compared with \$4.37 billion in the year-ago quarter. Free cash flow was \$2.22 billion in the quarter, up from \$1.96 billion in the prior-year period, driven by higher profit and working capital efficiencies. As of March 31, 2026, the company had \$10.82 billion in cash and cash equivalents with \$57.71 billion of long-term debt.

Outlook

For 2026, the company expects revenues to grow more than 5% on a constant currency basis, driven by a strong portfolio mix, operating leverage and yield from productivity initiatives. Free cash flow is expected to increase by about \$1 billion year over year.

FY Quarter Ending12/31/2025

Earnings Reporting Date	Apr 22, 2026
Sales Surprise	1.49%
EPS Surprise	5.52%
Quarterly EPS	1.91
Annual EPS (TTM)	11.88

Recent News

On Jun 22, 2026, IBM announced that it has formed a strategic collaboration with OpenAI. The collaboration focuses on taking AI capabilities beyond just improving productivity and efficiency and integrating AI directly into an organization's cybersecurity operations.

On Jun 11, 2026, IBM announced that it has strengthened its partnership with ServiceNow through a long-term strategic collaboration to help businesses overcome fragmented data across enterprise systems and outdated legacy technology, the two major barriers to artificial Intelligence (AI) adoption. The deal enables IBM to provide customers with an open, secure and flexible platform for large-scale AI usage.

On Jun 4, 2026, IBM announced that it has partnered with Google Cloud to help businesses adopt AI faster and modernize their technology systems. The deal creates a new Google Cloud Practice within IBM Consulting, combining IBM's industry expertise and AI-powered IBM Consulting Advantage platform with Google Cloud's Gemini Enterprise AI platform.

On May 21, 2026, IBM announced that it signed a Letter of Intent with the U.S. Department of Commerce to establish America's first purpose-built quantum wafer foundry through a new standalone company, Anderon. The initiative is supported by a proposed \$1 billion CHIPS incentive from the Department of Commerce and a matching \$1 billion cash contribution from IBM. The foundry is expected to accelerate quantum technology development, expand domestic quantum wafer manufacturing capabilities and strengthen IBM's leadership in the emerging quantum computing ecosystem.

On May 19, 2026, IBM announced that it expanded its AI-powered cybersecurity portfolio and joined Anthropic's Project Glasswing, an industry initiative focused on protecting critical software infrastructure. The company highlighted solutions such as IBM Concert, Concert Secure Coder, Autonomous Security and IBM Consulting services that help enterprises identify vulnerabilities, automate remediation and strengthen defenses against increasingly sophisticated AI-driven cyber threats. The initiative reinforces IBM's strategic focus on AI-enabled security and enterprise resilience.

On May 12, 2026, IBM announced that it launched Red Hat AI Inference on IBM Cloud and Red Hat OpenShift Virtualization Service on IBM Cloud. The new managed services are designed to help enterprises operationalize AI workloads, deploy production-grade inferencing capabilities, modernize virtualized environments and accelerate hybrid cloud adoption. The offerings expand IBM's Red Hat-based cloud portfolio and strengthen its ability to support customers moving AI applications from pilot projects into large-scale production environments.

Valuation

IBM's shares are down 3.2% in the past six months and down 1.9% over the trailing 12-month period. Stocks in the Zacks sub-industry are up 134.2% in the past six months, while stocks in the Zacks Computer and Technology sector are up 17.5%. Over the past year, the Zacks sub-industry is up 260.1% and the sector is up 39.4%.

The S&P 500 Index is up 9.4% in the past six months and up 23.9% in the past year.

The stock is currently trading at 21.78X forward 12-month earnings, which compares to 15.64X for the Zacks sub-industry, 24.14X for the Zacks sector and 21.13X for the S&P 500 Index.

Over the past five years, the stock has traded as high as 26.42X and as low as 10.4X, with a five-year median of 16.55X. Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$323 price target reflects 14.83X forward 12-month earnings.

The table below shows summary valuation data for IBM.

Valuation Multiples - IBM					
		Stock	Sub-Industry	Sector	S&P 500
P/E F12M	Current	21.78	15.64	24.14	21.13
	5-Year High	26.42	32.76	29.94	23.88
	5-Year Low	10.4	8.59	18.67	15.75
	5-Year Median	16.55	19.69	25.89	21.16
P/S F12M	Current	3.61	7.08	6.62	5.1
	5-Year High	4.25	7.08	7.39	5.61
	5-Year Low	1.49	1.94	4.33	3.79
	5-Year Median	2.36	3.11	6.28	5.02
EV/EBITDA TTM	Current	18.72	36.65	20.32	18.62
	5-Year High	21.37	36.96	22.8	21.12
	5-Year Low	7.78	6.32	12.22	13.78
	5-Year Median	13.73	14.49	18.36	17.77

As of 06/30/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Top 7% (17 out of 246)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
Agilysys, Inc. (AGYS)	Outperform	1
Hewlett Packard Enterprise Company (HPE)	Outperform	1
Micron Technology, Inc. (MU)	Outperform	1
Silicon Motion Technology Corporation (SIMO)	Outperform	1
Advanced Micro Devices, Inc. (AMD)	Neutral	3
Amazon.com, Inc. (AMZN)	Neutral	2
Seagate Technology Holdings PLC (STX)	Neutral	3
NCR Voyix Corporation (VYX)	Neutral	3

Industry Comparison ⁽¹⁾ Industry: Computer - Integrated Systems				Industry Peers		
	IBM	X Industry	S&P 500	AMD	HPE	MU
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Outperform	Outperform
Zacks Rank (Short Term)	3	-	-	3	1	1
VGM Score	D	-	-	C	A	C
Market Cap	264.31 B	7.46 B	44.14 B	947.23 B	59.73 B	1,303.65 B
# of Analysts	8	5	22	19	8	13
Dividend Yield	2.40%	0.00%	1.41%	0.00%	1.26%	0.05%
Value Score	D	-	-	F	B	F
Cash/Price	0.05	0.06	0.04	0.01	0.09	0.02
EV/EBITDA	17.95	17.95	13.96	128.83	17.11	69.40
PEG Ratio	2.91	1.09	1.86	1.47	0.41	NA
Price/Book (P/B)	8.00	8.00	3.58	14.69	2.36	12.94
Price/Cash Flow (P/CF)	16.41	70.62	14.34	113.38	9.16	76.13
P/E (F1)	24.79	30.14	18.21	80.95	13.23	15.63
Price/Sales (P/S)	3.84	9.94	3.08	25.29	1.54	14.44
Earnings Yield	4.41%	2.27%	5.49%	1.24%	7.56%	6.40%
Debt/Equity	1.75	0.04	0.57	0.04	0.72	0.05
Cash Flow (\$/share)	17.13	2.05	9.62	5.12	4.92	15.16
Growth Score	C	-	-	A	B	A
Hist. EPS Growth (3-5 yrs)	5.34%	4.02%	6.97%	4.02%	1.12%	14.99%
Proj. EPS Growth (F1/F0)	2.24%	62.39%	10.20%	72.18%	75.77%	790.95%
Curr. Cash Flow Growth	11.59%	23.87%	8.27%	13.31%	33.11%	101.87%
Hist. Cash Flow Growth (3-5 yrs)	2.05%	10.23%	9.05%	38.00%	4.33%	14.74%
Current Ratio	0.80	2.64	1.18	2.72	1.09	3.42
Debt/Capital	63.58%	4.19%	38.62%	3.52%	41.84%	4.86%
Net Margin	15.61%	13.37%	12.92%	13.37%	3.94%	55.91%
Return on Equity	37.23%	11.38%	17.22%	9.55%	11.91%	71.13%
Sales/Assets	0.46	0.71	0.53	0.49	0.50	0.89
Proj. Sales Growth (F1/F0)	3.20%	15.11%	6.45%	40.90%	31.50%	234.30%
Momentum Score	C	-	-	C	B	A
Daily Price Chg	1.15%	0.42%	0.79%	7.68%	1.58%	0.79%
1 Week Price Chg	9.04%	-1.54%	1.82%	-2.94%	-7.80%	-0.15%
4 Week Price Chg	-14.59%	0.00%	-1.45%	11.38%	-19.66%	8.48%
12 Week Price Chg	14.75%	52.38%	13.34%	162.23%	83.15%	205.71%
52 Week Price Chg	-3.43%	10.19%	21.00%	326.79%	120.26%	854.83%
20 Day Average Volume	8,526,698	2,669,224	3,377,118	30,736,636	28,766,832	55,603,208
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	18.34%
(F1) EPS Est 4 week change	0.03%	0.15%	0.00%	0.01%	46.62%	22.38%
(F1) EPS Est 12 week change	-0.26%	9.94%	0.82%	8.99%	46.34%	24.34%
(Q1) EPS Est Mthly Chg	2.32%	1.24%	0.00%	0.00%	71.61%	39.94%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	D
Growth Score	C
Momentum Score	C
VGM Score	D

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosures

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